

These characteristics ensure that during prolonged periods of stock-market stress, CCP companies would, more often than not, deliver positive returns due to one of the following two factors:

- **Earnings growth more than offsets the P/E de-rating during periods of stock market stress:** Stressed periods of the stock market usually occur due to deterioration in earnings growth prospects of the constituent stocks compared to what are already factored into the share prices. Since the CCP companies can maintain healthy growth even in a disruptive external environment, the ripple effect of a stressed stock market's P/E multiple de-rating tends to be more than offset by a CCP company's earnings growth delivered during the same period. As a result, the share price of such a company could end up giving positive returns even during periods of stress in the broader stock market. The table below highlights some of these instances for firms like Asian Paints, Amara Raja and ITC.